

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

	X	
INTERNATIONAL LONGSHOREMEN’S ASSOCIATION,	:	
	:	
Complainant,	:	
v.	:	
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND SSA	:	
ATLANTIC, LLC.	:	
	:	
Respondents.	:	
	X	

FMC Docket No.: 22-12

**BRIEF OF
INTERNATIONAL LONGSHOREMEN’S ASSOCIATION
ON WHETHER STATE SOVEREIGN IMMUNITY
APPLIES TO THIS PROCEEDING**

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INTRODUCTION

Complainant International Longshoremen's Association (ILA) submits this brief in response to Administrative Law Judge Wirth's August 18, 2022 Order, which instructs that "the parties shall file briefs indicating whether or not this proceeding or the requested relief implicate state sovereign immunity." As ALJ Wirth observed, "it is not clear what role, if any, sovereign immunity jurisprudence would play in this proceeding where state entities are not parties." This brief will explain why it plays no role at all in this proceeding.

STATEMENT OF FACTS ALLEGED

On March 8, 2019, Respondents Ports America Florida, Inc. (Ports America), Ceres Marine Terminals, Inc. (Ceres) and SSA Atlantic, LLC (SSA) submitted a proposed cooperative working agreement, FMC Agreement No. 2019-06783, to the Commission for review pursuant to § 40301(b) of the Act. AVC ¶ 32.¹

Respondents have suggested in their motions to dismiss that this Agreement was entered into at the request of the South Carolina State Ports Authority (SCPA) in South Carolina and the Georgia Ports Authority (GPA) in Georgia. MTD Br. 4. ("To avoid undue disruption of existing commercial relationships between stevedores and carriers, each port gave SSA, Ceres and MTCE the option of proposing a single joint venture stevedoring-services provider, which the parties ultimately pursued in 2019 forming CSC in Charleston and consolidating stevedoring services into Gateway in Savannah, each of which operate independently of one another."); SMTD Br. 4 ("Having multiple stevedores operating competitively in the same space was recognized by the state policymakers as an obstacle to necessary port reforms, such as optimizing the physical

¹ References to the ILA's Amended Verified Complaint will be cited as AVC ___. References to Respondent's first Motion to Dismiss will be cited as MTD Br. ___. References to Respondents' second Motion to Dismiss and Motion to Strike will be cited as SMTD Br. ___.

configurations of the ports, more closely integrating terminal and stevedoring operations, updating and unifying the parties' operating systems, more efficiently utilizing equipment in the facility, and reducing redundant administrative and backroom costs that impaired the competitiveness of each port.”). And consistent with Respondents' arguments, the ILA also alleged in its AVC that the establishment of the joint ventures, now Charleston Stevedoring Company, LLC (CSC) in South Carolina and Gateway Terminals, LLC (Gateway) in Georgia, was done at the request of the state port authorities. AVC ¶¶ 38-41. However, Respondents never argued in their motions to dismiss that simply because they agreed to comply with the port authorities' requests to enter the joint ventures that they were then somehow shielded by state sovereign immunity.

ARGUMENT

As ALJ Wirth explained in her Order: “The preeminent purpose of state sovereign immunity is to accord States the dignity that is consistent with their status as sovereign entities.” *Federal Maritime Commission v. South Carolina State Ports Auth.*, 535 U.S. 743, 760 (2002). Only “States and arms of the State possess immunity from suits authorized by federal law.” *Northern Ins. Co. of N.Y. v. Chatham County*, 547 U.S. 189, 193 (2006); *see also Pastrana-Torres v. Corporación de P.R. para la Difusión Pública*, 460 F.3d 124, 126 (1st Cir. 2006) (The Eleventh Amendment provides sovereign immunity for “the states themselves and entities that are determined to be arms of a state.”). As shown below, since the Respondents are not states, and cannot be construed to be arms of any state, nothing about this proceeding implicates state sovereign immunity.

I.

RESPONDENTS ARE NOT ARMS OF STATE UNDER THE COMMISSION'S ARM OF THE STATE ANALYSIS

The doctrine of sovereign immunity insulates a sovereign from suit, and as such, is appropriately cabined. *See Keifer & Keifer v. Reconstr. Fin. Corp.*, 306 U.S. 381, 388 (1939). The Commission, in analyzing whether a respondent to a private party complaint is entitled to state sovereign immunity, will look to federal case law and its own decisions concerning whether to apply state sovereign immunity. The Commission has only found state sovereign immunity applicable to situations where the party is a quasi-state entity, such as a state port authority incorporated and enabled by a state legislature. *See Toyota de Puerto Rico Corp. v. Puerto Rico Ports Authority*, 19-02 (Wirth, ALJ) (F.M.C. Mar. 30, 2021) (“Toyota”); *see also South Carolina State Ports Auth.*, 535 U.S. at 747. The Commission has **never** ruled that a completely private entity, such as each of the Respondents, is entitled to state sovereign immunity. This is because a private entity is in no way an “arm of the state.” Indeed, even public corporations such as municipalities are not arms of the state. *South Carolina State Ports Auth.*, 535 U.S. at 751 (“Status *vel non* as an arm of the state is determinative of the immunity inquiry, because lesser entities, such as municipal corporations or local governments, are not entitled to protection under the Eleventh Amendment.”) (emphasis supplied).

To determine whether a respondent is entitled to state sovereign immunity, the Commission looks to the arm-of-the-state test applied by the Court of Appeals for the circuit in which the respondent sits. *Toyota*, 19-02, Initial Decision at *4 (F.M.C. 2021) (applying First Circuit’s test from *Fresenius Medical Care Cardiovascular Resources, Inc. v. Puerto Rico & Caribbean Cardiovascular Ctr. Corp.*, 322 F.3d 56 (1st Cir. 2003), to the Puerto Rico Ports Authority). Here,

South Carolina is in the Fourth Circuit and Georgia is in the Eleventh Circuit. The Commission specifically adopted the Fourth Circuit’s arm-of-the-state test in *Ceres Marine Terminals, Inc. v. Md. Port. Auth.*, 94-01 (F.M.C. Aug. 16, 2004) (“*Ceres*”) when determining whether the Maryland Port Authority was an arm of the state of Maryland. There, the Commission explained the relevant factors as follows:

[F]irst. . . an examination [as to] whether a state will have to pay any money judgment that is awarded. The Fourth Circuit holds that “[t]his is often the end of the inquiry, for if the ‘State treasury will be called upon to pay a judgment against a governmental entity. . . consideration of any other factor becomes unnecessary.’” *Kitchen*, 286 F.3d at 184, quoting *Cash v. Granville County Bd. of Education*, 242 F.3d 219, 223 (4th Cir. 2001). If, however, money from the state treasury will not be used to pay a judgment, the Fourth Circuit directs the analysis towards three additional factors: “(1) the degree of control that the State exercises over the entity; 2) whether the entity deals with local rather than statewide concerns; and 3) the manner in which State law treats the entity.” *Kitchen* at 184 (citation and quotation marks omitted).

Ceres, 94-01 at *11-12 (citing *Kitchen v. Upshaw*, 286 F.3d 179, 184 (4th Cir. 2002)).

Though the Commission has not specifically adopted the Eleventh Circuit’s test, that circuit considers similar factors, namely “(1) how state law defines the entity; (2) what degree of control the State maintains over the entity; (3) where the entity derives its funds; and (4) who is responsible for judgments against the entity. . . .” *Harris v. Univ. of Alab.*, 792 F. App’x 713, 715-16 (11th Cir. 2019).

A perusal of the factors for consideration under either Circuit’s test shows that the Respondents are not arms of either South Carolina or Georgia. First, neither South Carolina nor Georgia bear any risk of paying damages from their state treasuries should the Commission assess reparations against any of the Respondents. *Kitchen*, 286 F.3d at 184 (holding the key factor in an arm-of-the-state analysis within the Fourth Circuit is whether a state treasury is responsible for the entity’s actions). Second, neither CSC nor Gateway are creatures of state law. They were created

as private entities by private actors; they were not created by an enabling act or other statute. *Fresenius*, 322 F.3d at 65 (“After all, a state may easily make clear by statute its view that an entity is to share the state’s immunity. . . .”). Third, the joint ventures are owned and operated by private actors—not public appointees—and neither state exercises any control over the management of the joint ventures. Likewise, the entities are funded by business transactions, not by tax assessments. Thus, there is nothing to support the applicability of the factors set forth in *Kitchen* or *Harris*, 286 F.3d at 184, 792 F. App’x at 715.²

It is settled law that private entities and even instrumentalities of the state do not become shielded by sovereign immunity merely because they do the government’s work. *Keifer & Keifer*, 306 U.S. 381, 388. No federal circuit court has recognized that a private entity can enjoy state sovereign immunity under the arm-of-the-state test, and the Ninth Circuit has expressly held that state sovereign immunity **can never** extend to private entities. *Del Campo v. Kennedy*, 517 F.3d 1070, 1080-81 (9th Circuit 2008) (“The law makes clear that state sovereign immunity does not extend to private entities.”).

Therefore, state sovereign immunity has no relevant application to this proceeding where state entities themselves are not parties to the proceeding.

² Though not controlling on the Commission, it is worth noting that Respondents cannot be protected by either South Carolina’s or Georgia’s own sovereign immunity doctrines, either. Georgia does not extend sovereign immunity to private entities, *see State v. Int’l Indemn. Co.*, 305 Ga. 126 (2019) (“[I]t is well-settled that sovereign immunity shields from suit the State and its departments and agencies, including claims against the State’s officers or employees in their official capacity. . . .”) (quoting *Cameron v. Lang*, 274 Ga. 122, 123, 126 (2001)), and South Carolina has all but abolished the concept of sovereign immunity. *See Repko v. Cnty. of Georgetown*, 424 S.C. 494 (2018) (“a political subdivision such as the County is ‘liable for [its] torts in the same manner and to the same extent as a private individual under like circumstances, *subject to the limitations upon liability and damages, and exemptions from liability and damages*’ found in the TCA.”) (emphasis supplied) (citation omitted)).

CONCLUSION

For the foregoing reasons, state sovereign immunity has no relevant application to this proceeding.

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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Respondents' counsel of record by email on this 15th Day of September, 2022.

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